SAS. Mr. Dulles, gave this to the Ambassador. You should perhaps read it before you see him tomorrow.

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Japan and China

1. On May 19, 1951, in reply to a suggestion that Sebald ascertain the probable future wishes of the Japanese Government as regards peace with China, Sebald said that after conference with Prime Minister Yoshida, he was informed that the Japanese Government under no circumstances desires signature by Chinese Communist regime. Basically, Japanese Government wishes to make peace with the Chinese National Government which it considered deserves support by Japan.

2. On June 19, 1951, Mr. Morrison and Mr. Dulles agreed at London, so far as the Peace Treaty was concerned, we would proceed "without any Chinese co-signature" and that "Japan's future attitude toward China must necessarily be for determination by Japan itself in the exercise of the sovereign and independent status contemplated by the Treaty." This agreement was reached after the formula had first been rejected by the British Cabinet on the ground that inevitably Japan would follow U.S. policy toward China rather than U.K. policy. Mr. Attlee had made the counter proposal that Japan's relations with China might be treated in a group of non-binding [illegible] so that Japan would not have freedom of action as regards China. This proposal in turn had been rejected by Mr. Dulles in a conversation [illegible]

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3. On August 6, 1951, Prime Minister Yoshida said, in a letter to Mr. Dulles that the Japanese Government had no intention to conclude a bilateral treaty with the Communist regime.

4. On August 9, 1951, at a conference at Washington between Messrs. Fitzmaurice and Tomlinson of the U.K. and Messrs. Dulles and Allison of the U.S., Mr. Tomlinson asked Mr. Dulles whether we interpreted the U.S.-U.K. understanding about China to prevent the signature of any peace treaty between Japan and any Chinese Government until after the coming into force of the main Treaty. According to the U.S. memorandum of the conversation, Mr. Dulles said

> "I did not think that it was possible to give any categorical answer to this question. The principle involved was that there should be no Allied coercion upon Japan to adopt an arbitrary course in regard to China which might prejudice Japanese best interests for the future. Under these circumstances a good deal would depend upon the degree of freedom which might, in fact, be restored to Japan after the signature of the Treaty, but before the coming into force, particularly if the latter was considerably deferred."

5. On September 8, 1951, the Multilateral Peace Treaty was signed at San Francisco. Developments at the preceding Conference already [illegible] that Japan would be expected to exercise a large degree of [illegible] sovereignty with respect to its foreign relations after

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the signature but before the coming into force of the Treaty. (See, for example, the exchanges of views between the Japanese Delegation and the Indonesian, Philippine and Netherlands Delegations, which contemplated post-signing but pre-ratification negotiations for bilateral arrangements.)

6. On September 9, 1951, Mr. Morrison and Mr. Dulles, en route from San Francisco to Washington, discussed the Japan-China position and according to Mr. Dulles' memorandum of the conversation, Mr. Morrison said that

> "he hoped that nothing would be done to crystallize the Japanese position toward China until after the Treaty of Peace came into force. He said that otherwise he might have difficulty about ratification."

Mr. Dulles said

> "there was the reality which had not been disguised, namely, that the present Government of Japan was strongly anti-Communist and did not want to favor or encourage the Communists either in Japan or on the Asian mainland. * * * * * Against this the Japanese Government were on good relations with the Nationalists. * * * * * We could not supress indefinitely the natural desire of the Japanese Government which, we assumed, included at least such recognition of the Nationalist Government as would assure their good will in various U.N. organizations where that government had a vote and a voice which the Japanese needed on their behalf as applicants for membership in U.N. agencies. Also we assumed the Japanese would want quickly to put trade, diplomatic and consular relations with Formosa on a normal peace time basis. None of this, however, necessarily implied Japanese acceptance of the Chinese Nationalist Government as empowered to speak for, and to bind, all of China. I recalled that I had expressed this point of view in London."

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7. On September 13, 1951, SCAP restored to the Japanese Government authority to deal directly with foreign governments whose diplomatic representatives were accredited to SCAP. Those named included "the Chinese Mission in Japan", which is Nationalist.

8. Pursuant to the multilateral Treaty of Peace and the SCAP authority above mentioned, the Japanese Government began actively to exercise sovereignty as regards its prospective treaty relations with many of the foreign governments which had diplomatic representatives accredited to SCAP. Among others with which such negotiations were initiated were the U.S. and Canada (fishing), Indonesia (reparations and fishing), the Philippines (reparations), India (general peace), Korea (bilateral treaty of friendship and commerce) and Australia (fishing). All of these negotiations were conducted by Japan in the exercise of a sovereign and independent status, there being no exercise whatever by SCAP of its potential control of Japanese foreign relations.

9. In November 1951, after approval of the Peace Treaty by the British Parliament and in anticipation of a trip to Japan by Mr. Dulles and Senators Sparkman and Smith (the ranking Democratic and Republican members of the Far Eastern Subcommittee of the Senate Foreign Relations

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Committee) designed to gather information for the use of the Senate in considering ratification, and in an effort to preserve a common front with the U.K., Mr. Merchant of the State Department went to London where he tentatively reached, at the official level, a possible joint position on Japanese attitude toward China. However, on November 20 Mr. Eden advised Mr. Acheson in Paris

> "I do not feel able to approve the draft formula which emerged from the official level talks in London last week" and that "if need arose I should feel bound to endorse the advice already given the Japanese Government by Sir E. Dening against this (i.e., "any form of recognition of the Chinese Nationalists") action."

This was the first information to the U.S. that the U.K., through their Ambassador at Tokyo, was giving advice to the Japanese Government with reference to its relations with China.

10. Secretary Acheson replied (November 22) that

> "I believe that the Japanese, if they so choose, should not be discouraged from extending the discussion of these problems with the authorities on Formosa into preliminary talks looking toward an agreement which would conform to the realities, but which would in no event be concluded before the multilateral Treaty comes into force. I believe you and I were right in our decision to leave these inter-related problems for discussion in Tokyo next month between Dulles and Sir Esler Dening."

11. On Tuesday, December 11, Mr. Dulles, as the first matter of business following his arrival in Tokyo, [illegible]

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with Sir Esler Dening and told him that Yoshida's remarks before the Diet had greatly confused the Senate, that there was imperative need of clarification and that he and Senators Sparkman and Smith proposed to suggest to Yoshida that in view of the vast number of problems between the U.S. and Japan, most of which would involve Congressional action, and in view of the views of Congress on the subject of China, and the apparent views of the Japanese Government itself, the Japanese Government might find it in its best interests to make clear its intention to negotiate with the Nationalist Government of China with a view to arranging, that following the coming into force of the multilateral Treaty of Peace, there should also be brought into force a bilateral Treaty with the Nationalist Government of China, with the understanding that the bilateral Treaty applied to territory under the actual control of the Nationalist Government, leaving for future development the relations between Japan and any area of China not under the actual control of the Nationalist Government. Mr. Dulles told Sir Esler Dening that he would keep Dening fully informed of the Japanese negotiation and would not proceed without further consultation with Dening.

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12. On Thursday, December 13, 1951, Mr. Dulles made an oral statement to Yoshida and Iguchi on the basis of a memorandum

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along the lines mentioned above (Point 11) and immediately thereafter showed a copy of the memorandum to Dening and asked urgently for the further views of the U.K.

13. On Monday evening, December 17, Dening told Dulles that he had asked for immediate instructions but received none until that day when he had been instructed not to have further conversations with Mr. Dulles in Tokyo.

14. On Wednesday, December 19, Mr. Dulles and Senators Sparkman and Smith made a farewell call upon Prime Minister Yoshida, in the course of which Prime Minister Yoshida told the two Senators that his Government proposed to deal with the China matter along the lines which he and Mr. Dulles had discussed on December 13, and that he expected to clarify the Japanese Government position and subsequently communicate with Mr. Dulles. He strongly hoped that the U.K. would acquiesce in the proposed Japanese position as it was embarrassing to the Japanese Government to be confronted with opposing U.S.-U.K. positions.

15. On January 7, Mr. Dulles received, by pouch, a letter from Mr. Yoshida dated December 24, 1951, stating Japan's intentions as regards China.

16. On January 8, Mr. Yoshida held a New Year's press conference in Tokyo in which he is reported to have declared that

"so long as China is a communist country . . . . and disturbs the peace and order of foreign countries, Japan cannot hold intercourse with her * * * we will hold intercourse with any country, Formosa or others, provided that the other party would not disturb the internal peace of this country." (New York Times, 1/9/52)

S:JFDulles:mb
1/9/52

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